22
Bank-to-bank reimbursements and reimbursement from aid agencies

Learning objectives

This chapter looks at arrangements that involve a reimbursing bank or aid agency providing reimbursement to a nominated bank.

By the end of this chapter, you should be able to:

- describe the role of a reimbursing bank; and
- understand the process that applies when an aid agency is responsible for providing reimbursement.

22.1 The relationship between an issuing bank and a reimbursing bank

Although only one bank (an issuing bank) is necessary to facilitate reimbursement under a documentary credit, in many cases an issuing bank will nominate another bank to reimburse a nominated bank that has honoured or negotiated a presentation made under its documentary credit. Such a bank is known as a 'reimbursing bank'.

Although the UCP were developed to standardise the operation of documentary credits, the practice of interbank currency reimbursement was typically carried out in line with local market practice. As the volume of international trade increased, this became a significant cause of additional risk for reimbursing banks in documentary credits. The ICC developed a set of rules for bank-to-bank reimbursements to help banks to manage this risk. The current version is the ICC *Uniform Rules for Bank-to-Bank Reimbursements under Documentary Credits* (URR 725).

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UCP 600, article 13, covers some very basic arrangements for bank-to-bank reimbursements. URR 725 provides additional clarification and more detailed rules to be followed in such circumstances.

UCP 600, sub-article 13(a), requires a documentary credit to state whether URR 725 is to apply to it. URR 725 requires the reimbursement authorisation issued by the issuing bank and sent to the reimbursing bank to make it clear that URR 725 is to apply to it. If the documentary credit and reimbursement authorisation is silent in this respect and a bank-to-bank reimbursement is to occur, then the contents of UCP 600, sub-articles 13(b) and (c), will apply.

a. If a credit states that reimbursement is to be obtained by a nominated bank ("claiming bank") claiming on another party ("reimbursing bank"), the credit must state if the reimbursement is subject to the ICC rules for bank-to-bank reimbursements in effect on the date of issuance of the credit.

b. If a credit does not state that reimbursement is subject to the ICC rules for bank-to-bank reimbursements, the following apply:

i. An issuing bank must provide a reimbursing bank with a reimbursement authorization that conforms with the availability stated in the credit. The reimbursement authorization should not be subject to an expiry date.

ii. A claiming bank shall not be required to supply a reimbursing bank with a certificate of compliance with the terms and conditions of the credit.

iii. An issuing bank will be responsible for any loss of interest, together with any expenses incurred, if reimbursement is not provided on first demand by a reimbursing bank in accordance with the terms and conditions of the credit.

iv. A reimbursing bank's charges are for the account of the issuing bank. However, if the charges are for the account of the beneficiary, it is the responsibility of an issuing bank to so indicate in the credit and in the reimbursement authorization. If a reimbursing bank's charges are for the account of the beneficiary, they shall be deducted from the amount due to a claiming bank when reimbursement is made. If no reimbursement is made, the reimbursing bank's charges remain the obligation of the issuing bank.

c. An issuing bank is not relieved of any of its obligations to provide reimbursement if reimbursement is not made by a reimbursing bank on first demand.

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Reimbursing banks act upon the instruction and authority of the issuing bank, and any difficulties that a claiming bank has in respect of non-payment, late payment or interest charges are to be referred to the issuing bank and not the reimbursing bank.

22.1.1 The risks to the reimbursing bank

A reimbursing bank is entitled to be reimbursed by the issuing bank when it has honoured a claim of a claiming bank as specified in the issuing bank's reimbursement authorisation. However, it has no obligation to reimburse a claiming bank unless it has issued a reimbursement undertaking.

It should be noted that a reimbursing bank is neither concerned with nor bound by the terms and conditions of the underlying documentary credit, and therefore is not concerned with whether or not a complying presentation has been made to a claiming bank (nominated bank).

The main risk to the reimbursing bank is that, once it has paid the claiming bank's claim, it may not be able to obtain reimbursement from the issuing bank (for the same reasons as a confirming bank may not be able to obtain reimbursement from an issuing bank). However, in most cases, a reimbursing bank will not honour a claim unless sufficient funds are available on the account of the issuing bank or other arrangements are in place where there may be a shortfall.

22.2 The ICC *Uniform Rules for Bank-to-Bank Reimbursements under Documentary Credits* (URR 725)

As noted earlier, UCP 600, sub-article 13(a), requires a documentary credit to state whether the URR 725 are to apply. If the documentary credit is silent in this respect and a bank-to-bank reimbursement is to occur, then the contents of UCP 600, sub-articles 13(b) and (c), will apply. The principle expressed in UCP 600, sub-article 13(c), also applies if the URR rules are to apply.

Neither UCP 600, article 13, nor URR 725 apply in respect of a documentary credit where reimbursement is to be obtained from the issuing bank.

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22.2.1 URR 725, articles 3, 4 and 5

The key points made in URR 725, articles 3, 4 and 5, are as follows.

- A reimbursement authorisation is separate from the documentary credit (URR 725, article 3).
- Except under its own separate undertaking, a reimbursing bank has no liability to honour a claim made under a documentary credit; rather, such liability rests with the issuing and confirming bank, if any (URR 725, article 4).
- It is only the issuing bank that can and should provide the necessary and correct information (URR 725, article 5).

22.2.2 URR 725, article 6

URR 725, article 6, deals with the 'Issuance and Receipt of a Reimbursement Authorization or Reimbursement Amendment'.

It is not uncommon for issuing banks to stipulate a two or three day (sometimes longer) notice requirement prior to claims being met. This is primarily for cash management purposes, to enable the issuing bank to allow covering funds to be transferred to its account with the reimbursing bank.

Details of the requirement for a pre-debit notification (from the reimbursing bank to the issuing bank) should be included in the reimbursement authorisation and the documentary credit.

22.2.3 URR 725, article 10

URR 725, article 10, establishes the 'Standards for a Reimbursement Claim'.

In order to avoid any delay in the processing of reimbursement claims under reimbursement undertakings, the reimbursing bank should state in the terms of its reimbursement undertaking if it requires a claim to be authenticated. Similarly, upon receipt of a reimbursement authorisation, the reimbursing bank may wish to advise the issuing bank of its requirement, which might then be incorporated into future documentary credit instructions. In any event, the reimbursing bank has the right to request that a reimbursement claim be authenticated, without being liable for any consequence resulting from any delay incurred.

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22.3 A step-by-step guide to URR 725

The step-by-step guide that follows is intended to offer guidance only. While the relevant articles of URR 725 are cited and sometimes quoted, this can be no substitute for referring directly to URR 725 itself.

Issuance (step 1)

1.1 The issuing bank sends the documentary credit to the advising bank. It indicates that reimbursement is subject to URR 725 and specifies any requirements for pre-notification of a claim to be sent to the issuing bank, any pre-debit instructions (for compliance by the reimbursing bank) and the party responsible for the reimbursing bank's charges, as applicable.

The issuing bank sends to the reimbursing bank an authenticated reimbursement authorisation, stating that it is subject to URR 725 and specifying the details as mentioned in **URR 725, sub-articles 6(d)(i)–(v)**.

i. credit number;

ii. currency and amount;

iii. additional amounts payable and tolerance if any;

iv. claiming bank or, in the case of a credit available with any bank that claims can be made by any bank. In the absence of any such indication, the reimbursing bank is authorized to pay any claiming bank;

v. parties responsible for charges (claiming bank's and reimbursing bank's charges) in accordance with article 16 of these rules.

If the reimbursement authorisation requires the reimbursing bank to accept and pay a term draft, it must additionally specify the details as mentioned in **URR 725, sub-articles 6(e)(i)–(iii)**.

i. tenor of draft to be drawn;

ii. drawer;

iii. party responsible for acceptance and discount charges, if any.

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If the reimbursement authorisation is irrevocable and requires the reimbursing bank to issue its reimbursement undertaking, it must specify the details as mentioned in **URR 725, sub-articles 9(b)(i)–(vi)**.

i. credit number;

ii. currency and amount;

iii. additional amounts payable and tolerance, if any;

iv. full name and address of the claiming bank to which the reimbursement undertaking should be issued;

v. latest date for presentation of a claim, including any usance period;

vi. parties responsible for charges (claiming bank's and reimbursing bank's charges and reimbursement undertaking fee) in accordance with article 16 of these rules.

If the reimbursement authorisation is irrevocable and requires the reimbursing bank to issue its reimbursement undertaking, and also to accept and pay a term draft, it must additionally specify the details as mentioned in **URR 725, sub-articles 9(c)(i)–(iii)**.

i. tenor of draft to be drawn;

ii. drawer;

iii. party responsible for acceptance and discount charges, if any.

1.2 The advising bank receives the authenticated documentary credit and advises the beneficiary.

The reimbursing bank receives the authenticated reimbursement authorisation and reviews its details:

- if it is not prepared to act, it advises the issuing bank without delay; or
- if it is prepared to act, it files or records details of the reimbursement authorisation pending receipt of any claim.

If it has been requested to issue its reimbursement undertaking, the reimbursing bank either advises the issuing bank without delay if it is not prepared to do so, or it sends its authenticated reimbursement undertaking to the named claiming bank, specifying its terms and

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conditions, and including the details as required by **URR 725, sub-articles 9(e)(i)–(vi)**.

i. the credit number and name of the issuing bank;

ii. the currency and amount of the reimbursement authorization;

iii. additional amounts payable and tolerance, if any;

iv. the currency and amount of the reimbursement undertaking;

v. the latest date for presentation of a claim, including any usance period;

vi. the party to pay the reimbursement undertaking fee, if other than the issuing bank. The reimbursing bank must also include its charges, if any, that will be deducted from the amount claimed.

1.3 The issuing bank receives notification from the reimbursing bank if it is not prepared to act and is required to provide new reimbursement instructions to the advising bank.

Alternatively, the claiming bank (for example, the advising bank) receives an authenticated reimbursement undertaking (if required and issued), which it files or records pending receipt of a presentation under the documentary credit.

Amendment (step 2)

2.1 The issuing bank sends an authenticated amendment to the documentary credit to the advising bank.

The issuing bank sends a reimbursement amendment to the reimbursing bank if details in the original reimbursement authorisation have changed as a result of the amendment to the documentary credit.

2.2 The advising bank receives the authenticated amendment transmission and advises the beneficiary.

The reimbursing bank receives the authenticated reimbursement amendment and reviews the details:

- if it is prepared to act in accordance with the reimbursement amendment, it files or records it pending receipt of any claim;
- if it is not prepared to act in accordance with the reimbursement amendment, it advises the issuing bank without delay; or

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- if the reimbursement amendment is to an irrevocable reimbursement authorisation, the reimbursing bank decides whether or not to amend its reimbursement undertaking and either sends its authenticated reimbursement undertaking amendment to the claiming bank, or advises the issuing bank without delay that the reimbursement amendment is not acceptable.

2.3 Where applicable, the claiming bank receives the authenticated reimbursement undertaking amendment and reviews its details. It then either files or records the amended reimbursement undertaking under advice to the reimbursing bank (if the reimbursement undertaking amendment is acceptable) or communicates its rejection of the reimbursement undertaking amendment to the reimbursing bank without delay.

2.4 The reimbursing bank receives the reimbursement undertaking amendment communication from the claiming bank:

- if the claiming bank accepts its terms, the reimbursing bank notifies the issuing bank that the reimbursement amendment is acceptable; or

- if the claiming bank rejects its terms, the reimbursing bank notifies the issuing bank that the reimbursement amendment is not acceptable, and the terms of the unamended or previously accepted amended reimbursement undertaking remain in place.

2.5 The issuing bank receives the reimbursement amendment communication from the reimbursing bank. If the terms have been rejected, it reviews the need to provide additional reimbursement guidance or new instructions to the advising bank.

Claiming (step 3)

3.1 The claiming bank sends its reimbursement claim to the reimbursing bank, usually by teletransmission, but possibly in the form of an original letter, specifying the details as required under **URR 725, sub-articles 10(a)(ii) and (iii)**, together with instructions of where funds are to be paid.

> a. The claiming bank's claim for reimbursement:
>
> […]
>
> ii. must clearly indicate the credit number and the issuing bank (and reimbursing bank's reference number, if known);

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iii. must separately stipulate the principal amount claimed, any additional amount due and charges;

- If a term draft is to be forwarded for acceptance and payment at maturity, the claiming bank must forward the draft, together with the details specified in **URR 725, sub-articles 10(b)(i)–(v)**.

i. general description of the goods, services or performance;

ii. country of origin;

iii. place of destination or performance;

and if the transaction covers the shipment of merchandise

iv. date of shipment;

v. place of shipment.

- If the reimbursement is due on a future (predetermined) date, the reimbursement claim should not be sent to the reimbursing bank more than ten banking days prior to the predetermined date.

3.2 The reimbursing bank receives the reimbursement claim. The reimbursing bank has a maximum of three banking days following the day of receipt of the reimbursement claim in which to process it **(URR 725, sub-article 11(a))**.

A reimbursing bank shall have a maximum of three banking days following the day of the reimbursement claim to process the claim. A reimbursement claim received outside banking hours will be deemed to be received on the next following banking day.

- If the reimbursement claim is acceptable, the reimbursing bank pays funds to the claiming bank, in accordance with instructions received. It also sends an advice to either the claiming bank or the issuing bank, or both, if so required.

- If the reimbursement claim is refused, the reimbursing bank sends notice of its refusal to both the claiming bank and the issuing bank by telecommunication or other expeditious means no later than the close of the third banking day following the day of receipt of the claim plus any pre-debit notification period, if any. If such refusal is under a reimbursement undertaking, the reimbursing bank must state the reason for its non-payment of the reimbursement claim.

If it disregards a reimbursement claim because the claim has been presented more than ten banking days prior to the predetermined

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reimbursement date, the reimbursing bank should send a telecommunication to this effect to the claiming bank without delay.

3.3 The issuing bank receives advice of reimbursement or refusal from the reimbursing bank. If the reimbursement claim has been refused, it must provide alternative reimbursement to the claiming bank without delay.

The claiming bank receives timely payment of funds in accordance with its instructions or a non-payment notification from the reimbursing bank.

- If non-payment is the result of its reimbursement claim being submitted too early, the claiming bank re-presents its claim within ten banking days of the predetermined reimbursement date.
- If non-payment is the result of its reimbursement claim being issued incorrectly, the claiming bank presents a new conforming claim.
- If non-payment is for any other reason, the claiming bank contacts the issuing bank without delay, seeking immediate reimbursement of funds, together with interest, if applicable.

Cancellation while documentary credit still valid (step 4)

4.1 The issuing bank sends an authenticated message to the advising bank revising the documentary credit reimbursement instructions. If appropriate, it sends a reimbursement authorisation to another reimbursing bank.

The issuing bank sends an authenticated reimbursement authorisation cancellation to the reimbursing bank.

4.2 The advising bank receives the authenticated message revising the reimbursement instructions, which it files or records pending presentation under the documentary credit.

If a reimbursement undertaking has been issued, an advising bank, which is also the claiming bank, may diarise for receipt of the reimbursement undertaking cancellation request from the reimbursing bank.

The reimbursing bank receives the authenticated reimbursement authorisation cancellation transmission from the issuing bank, which

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it files or records, and notes that, if the reimbursement authorisation is revocable, it is cancelled for any future claims received.

If the reimbursement authorisation is irrevocable and the reimbursing bank has issued its reimbursement undertaking, it sends a reimbursement undertaking cancellation notice to the claiming bank without delay.

4.3 Where applicable, the claiming bank receives the authenticated reimbursement undertaking cancellation notice from the reimbursing bank. It sends its communication of acceptance or refusal of cancellation to the reimbursing bank without delay.

4.4 The reimbursing bank receives the reimbursement undertaking cancellation acknowledgement from the claiming bank. It advises the issuing bank without delay of its acceptance or refusal of the reimbursement authorisation cancellation.

4.5 The issuing bank receives the reimbursement authorisation cancellation acknowledgement from the reimbursing bank. If cancellation is refused, it reviews the need to provide additional reimbursement guidance or new instructions to the advising bank.

Cancellation after expiry of the documentary credit (step 5)

5.1 The issuing bank sends the authenticated reimbursement authorisation cancellation to the reimbursing bank.

5.2 The reimbursing bank receives the authenticated reimbursement authorisation cancellation from the issuing bank, and if it is not an irrevocable reimbursement authorisation, it cancels it in its files or records. If a reimbursement undertaking has been issued, it checks that the terms of the reimbursement undertaking have expired before accepting or refusing the reimbursement authorisation cancellation and advises the issuing bank without delay.

Problems

The most frequent problems and issues that arise in respect of reimbursements under documentary credits can be summarised as follows. The name of the party (or parties) with primary ownership of each problem or issue is also indicated (in parentheses).

- The reimbursing bank has received no reimbursement authorisation from the issuing bank (issuing bank).

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- There has been withdrawal or cancellation of the reimbursement authority (issuing bank).
- The reimbursement authorisation does not match the claim (claiming bank and / or issuing bank).
- There are inadequate funds available to effect reimbursement (issuing bank).
- There may be issues relating to operations of law, such as international boycotts, government freezing of assets or court action (international bodies / central banks / governments / courts).
- Payment may have been late (issuing bank and / or claiming bank and / or reimbursing bank, where a reimbursement undertaking is issued).
- There may be charges due (issuing bank and / or claiming bank).

22.4 Disciplines prompted by SWIFT message types

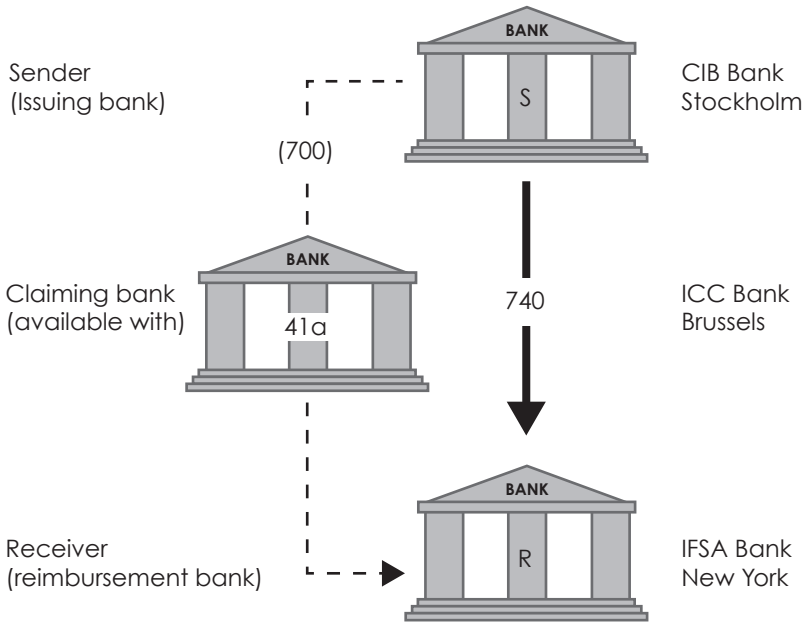
SWIFT message types and operating guidelines impose an additional discipline with respect to bank-to-bank reimbursements. Three message types apply – in particular:

- MT740 ('Authorisation to reimburse');
- MT747 ('Amendment to an authorisation to reimburse'); and
- MT742 ('Reimbursement claim').

See Figures 22.1–22.3 for an illustration of the information flow in each case.

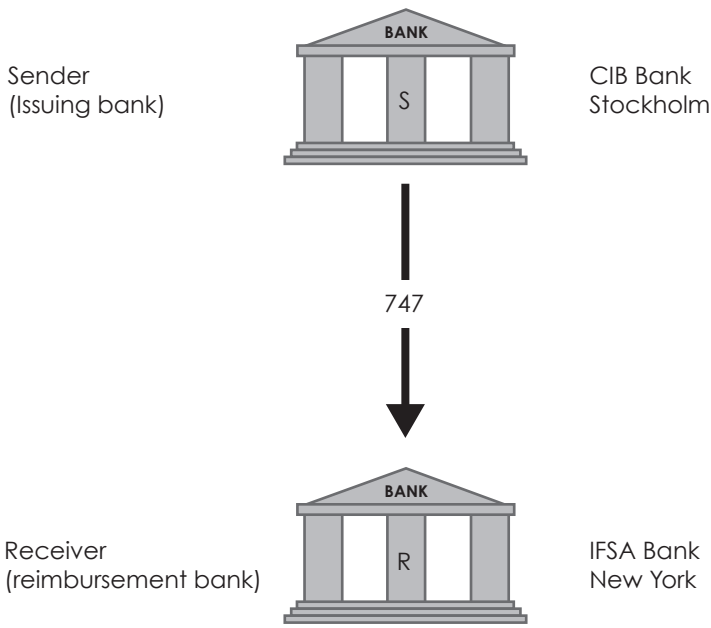
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Figure 22.1 MT740 ('Authorisation to reimburse') information flow



Source: SWIFT

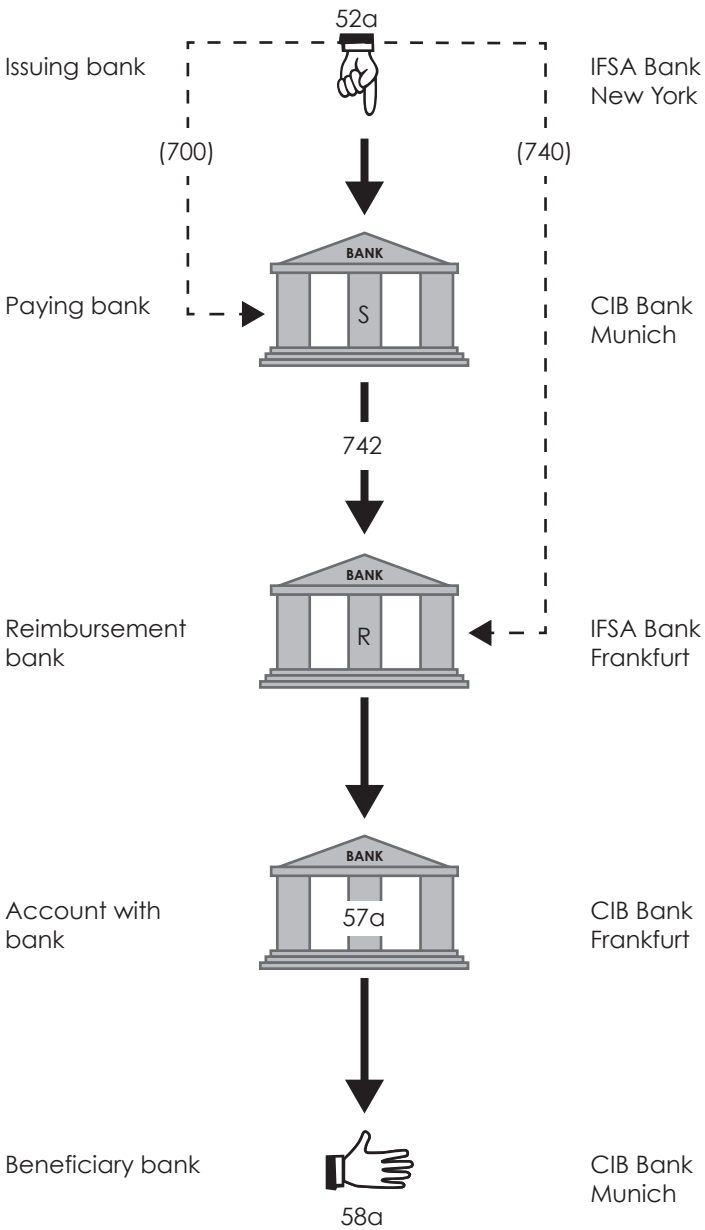
Figure 22.2 MT747 ('Amendment to an authorisation to reimburse') information flow



Source: SWIFT

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Figure 22.3 MT742 ('Reimbursement claim') – information flow (incorporating MT700 and MT740)



Source: SWIFT

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22.5 Documentary credits with reimbursement provided by aid (funding) organisations

Organisations such as The World Bank, the European Bank for Reconstruction and Development (EBRD), the Asian Development Bank (ADB) and the Inter-American Development Bank (IDB), among others, will often provide funding for local projects in the form of loans, particularly in parts of Africa, Latin America and Asia.

To ensure that such funding is used for the correct purpose, it is often the case that a local bank will issue a documentary credit, but instead of the local bank being responsible for reimbursing a nominated bank, one of these organisations will issue its guarantee or reimbursement agreement in favour of the nominated bank, whereby the organisation will provide the reimbursement to a nominated bank that honours or negotiates a complying presentation.

It is often the case that a bank will add its confirmation upon receipt of the guarantee or reimbursement agreement, when under normal circumstances it might not be willing to add its confirmation to a documentary credit that indicates that the local issuing bank is responsible for reimbursement.

The issuing bank will be required to send a copy of its documentary credit to the organisation so that it might issue its guarantee or reimbursement agreement. The documentary credit will be advised to the beneficiary on a non-operative basis, pending receipt of the guarantee or reimbursement agreement from the organisation.

In these circumstances, when a bank is requested or authorised to add its confirmation, it will do so only upon receipt of the guarantee or reimbursement agreement, and it will record its liability against the organisation and not the issuing bank.

The guarantee or reimbursement agreement will usually provide for reimbursement to be made within a maximum of 30 days after the date of the claim, and such claim is often to be supported by a copy of the invoice and (sometimes) the transport document.

Any amendment to the documentary credit will be advised to the beneficiary as inoperative pending the approval of the organisation. For some, any amendment is automatically acceptable, provided that it does not impact upon the expiry date, the amount, the goods description or the names of the applicant and beneficiary.

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Questions

1. A reimbursing bank has a maximum of how many banking days following the day of receipt of a reimbursement claim in which to process it?

   A. Two

   B. Three

   C. Four

   D. Five

2. Which of the following is *not* a true statement?

   A. Reimbursement may be made subject to UCP 600, sub-articles 13(b) and (c).

   B. Reimbursement may be made subject to the URR 725.

   C. Reimbursement may be made subject to URR 725 and UCP 600, sub-articles 13(b) and (c).

   D. Reimbursement may be made subject to URR 725, with certain modifications or exclusions made in the reimbursement authorisation.

3. An issuing bank's instruction to a reimbursing bank requesting issuance of a reimbursement undertaking subject to the URR 725 must indicate which of the following?

   i. Whether partial drawings are allowed

   ii. The latest date for presentation of a claim, including the usance period

   iii. The expiry date of the documentary credit

   iv. That the claiming bank must certify compliance with the credit terms

   A. ii only

   B. iii only

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C. i, ii and iii only

D. ii, iii and iv only

4. A reimbursing bank has received a valid claim under its reimbursement undertaking and is simultaneously instructed by the issuing bank not to honour the claim. In accordance with URR 725, how should the reimbursing bank proceed?

   A. It should request the claiming bank to cancel the claim.

   B. It should instruct the claiming bank to contact the issuing bank.

   C. It should honour the claim and debit the issuing bank's account.

   D. It should dishonour the claim as per the issuing bank's instruction.

5. In the event that a reimbursing bank does not honour a claim under a reimbursement authorisation for which no reimbursement undertaking has been issued, who is responsible under URR 725 for the interest in the delay in reimbursement?

   A. The beneficiary

   B. The issuing bank

   C. The reimbursing bank

   D. The claiming bank

References

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